

THE WALL STREET JOURNAL.

DOW JONES | News Corp ***** THURSDAY, MARCH 6, 2025 ~ VOL. CCLXXXV NO. 53 WSJ.com ★★★★★ \$5.00

DJIA 43006.59 ▲ 485.60 1.14% NASDAQ 18552.73 ▲ 1.5% STOXX 600 556.09 ▲ 0.9% 10-YR. TREAS. ▼ 14/32, yield 4.264% OIL \$66.31 ▼ \$1.95 GOLD \$2,915.30 ▲ \$5.70 EURO \$1.0790 YEN 148.89

What's News

Business & Finance

- ◆ **U.S. stocks rebounded** after a White House tariff reprieve on auto imports, with the S&P 500 and Dow industrials both rising 1.1% and the Nasdaq gaining 1.5%. **B10**
- ◆ **U.K. antitrust officials** declined to launch a formal investigation into Microsoft's partnership with ChatGPT maker OpenAI after a review of the arrangement. **B4**
- ◆ **A dispute over an enzyme** is threatening Merck's plans to sell a new version of Keytruda, the cancer drug that generates nearly half the company's sales. **B1**
- ◆ **McDonald's is giving** its 43,000 restaurants a technology makeover, starting with internet-connected kitchen equipment, artificial-intelligence-enabled drive-throughs and AI-powered tools for managers. **B1**
- ◆ **Aquarian formed** a joint venture with asset-based financing specialist Raven Capital to acquire copyrights to less-well-known musical works. **B1**
- ◆ **Bayer warned** investors of lower earnings this year as it continues to pursue a turnaround, but said performance is expected to improve from 2026. **B2**
- ◆ **Adidas targeted** continued sales growth and market-share gains this year as archival Nike attempts to revive its struggling brand. **B3**
- ◆ **Foot Locker foresaw** anemic sales prospects for the rest of the year as it contends with cautious consumers and Nike's overhaul effort. **B3**
- ◆ **Walt Disney cut** about 200 employees from its ABC News and Disney Entertainment Networks units, or about 6% of the combined staff. **B3**

World-Wide

- ◆ **Automakers will get** a one-month reprieve from tariffs on Mexico and Canada for cars that comply with a free-trade agreement between those countries and the U.S., the White House said. **A1, A4, B10**
- ◆ **Trump is expected** to issue an executive order as soon as Thursday aimed at abolishing the Education Department. **A3**
- ◆ **CIA Director Ratcliffe** said Trump ordered a pause to intelligence sharing with Ukraine, a move that deprives Kyiv of a key tool in fighting Russian forces. **A7**
- ◆ **President Macron said** he would confer with European allies on the idea of using France's nuclear deterrent to protect the Continent in the face of Russian threats. **A16**
- ◆ **The General Services Administration** removed from its website about 440 federal buildings that only hours earlier it had listed for sale, after an outcry over the mass property sale. **A6**
- ◆ **The Trump administration** stopped using military aircraft to fly migrants who entered the U.S. illegally to Guantanamo Bay, Cuba, and other destinations. **A3**
- ◆ **Trump warned Hamas** to free remaining hostages in Gaza after the White House confirmed it held face-to-face talks with the group on a deal to secure their release. **A7**
- ◆ **The mayors of Boston, Chicago, Denver and New York** said their policies that limit cooperation with federal immigration authorities have been key to lowering crime. **A3**
- ◆ **Died: Sylvester Turner, 70,** freshman congressman. **A6**

CONTENTS	Markets Digest.....	B7
Arts in Review.....	Opinion.....	A13-15
Business & Finance B2	Personal Journal A9-10	
Business News.....	Sports.....	A12
Crossword.....	Technology.....	B4
Heard on Street. B11	U.S. News.....	A2-6
Markets.....	World News A7-8, A16	



© 2025 Dow Jones & Company, Inc. All Rights Reserved

Trump's Foreign-Aid Cuts Run Into New Barrier



NEXT STEP: Rep. Ryan Zinke (R, Mont.) made his way Wednesday through a Capitol protest over the efforts to dismantle the U.S. Agency for International Development. The Supreme Court denied a Trump request to delay foreign-aid payments. **A2**

Investors' Worry Over Growth Brings 'Recession Trade' Back

By SAM GOLDFARB

Wall Street is having another growth scare. Investors entered 2025 optimistic that an already strong U.S. economy could get an extra boost from an administration pushing market-friendly tax cuts and regulatory rollbacks. Instead, trade tensions and signs of slowing growth have driven major indexes lower in recent weeks. The declines accelerated this week as Trump imposed 25% tariffs on the U.S.'s major

trading partners—forcing investors to rethink how serious he is about pursuing a broadly protectionist agenda. Losses have been particularly acute in sectors that investors view as sensitive to a slowdown, such as banks and smaller companies. The tech-heavy Nasdaq Composite has fallen 7.5% since mid-February. Oil prices have slipped. Havens including gold and U.S. Treasuries, meanwhile, have rallied. “I think a lot of people were just assuming that tariffs was just a bluff, and now there’s

more uncertainty around that,” said Keith Lerner, co-chief investment officer at Truist Advisory Services. The moves show investors struggling to gauge if the conditions underpinning two straight years of near-25% stock gains have deteriorated significantly. While few analysts thought stocks could do quite that well this year, most still thought that they could keep marching higher. Many remain confident that this latest bout of economic jitters will prove no worse than

others that have popped up in recent years. The present’s threat strikes some as less alarming, because it is driven by government policies that Trump could reverse in a moment, as he has done in the past. Stocks retraced a portion of their weekly declines Wednesday after the White House said that automakers would get a one-month exemption from the new tariffs on Canadian and

◆ James Mackintosh: Shifting world strains investors.... B1

Car Firms Receive A Month's Reprieve On Tariffs

Move follows request from Ford, GM and Stellantis; Trump is open to other tweaks

By GAVIN BADE AND ALEX LEARY

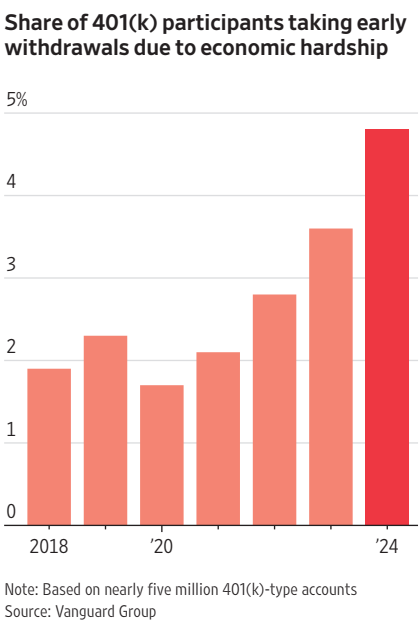
WASHINGTON—Automakers will get a one-month reprieve from tariffs on Mexico and Canada for cars that comply with a free-trade agreement between those two nations and the U.S., the White House said on Wednesday. The move follows a request from the heads of Ford Motor, General Motors and Stellantis, White House press secretary Karoline Leavitt said, and would apply to autos imported through the U.S.-Mexico-Canada Agreement, or USMCA, the successor trade deal to 1994's North American Free Trade Agreement. A group that represents the three automakers, the American Automotive Policy Council, in a statement thanked President Trump and said the companies would work with the administration “on our shared goals of increasing US automotive production and expanding exports.” The tariff exemption applies not only to Detroit-based automakers, but to any cars from Canada and Mexico that comply with the trade deal, an administration official said. The automaker group has said its imports from those countries

Please turn to page A4

◆ Toy makers fret over rising costs, price hikes..... B1
◆ CEOs face new uncertainty on tariff war front lines... A4

Strapped Workers Turn to 401(k)s

PINCH: Financial emergencies are pushing more Americans to break into their 401(k) accounts. Some 4.8% of account holders took early withdrawals last year for reasons such as preventing a foreclosure or paying medical bills. **A9**



Road Cones Are the Real Hazard To New Zealand's Health

Proliferation is tearing the country apart; 'It's cone-mania down here'

By MIKE CHERNEY

Some countries argue over religion. Others debate military spending or healthcare. New Zealand is torn up over traffic cones. The center-right government is cracking down on what officials say is an excessive use of cones. They argue all those cones are putting a brake on New Zealand's struggling economy, driving up costs and annoying drivers. One lawmaker, Catherine Wedd, said the cones have multiplied to the point that truckers and motorists have sent her pictures and videos of them lined up for miles along the road—with nothing happening around them. “The madness is about to end,” she said in parliament. The country's civil contractors association isn't pleased, saying traffic controls like cones help workers do their

jobs without getting hurt. The left-leaning opposition is on their side, saying all this talk about cones is just a distraction from the real problems the government is failing to fix. “We heard from the prime minister that they were going to have a laser-sharp focus on the cost of living,” said Jo Luxton, an opposition lawmaker, during the same parliamentary debate. “But all we seem to hear about is a laser-sharp focus on roads, road cones, and potholes.” Queenstown, a tourist mecca famed for its challenging ski trails and natural beauty, has been inundated with so many cones that some locals have dubbed it “Conestown.” People often deposit cones on top of a sculpture that's facetiously called the “Fountain of Cones,” locals and visitors say.

Please turn to page A10

China Is Secretly Worried Trump Will Win Showdown

In seeking accord with U.S., Beijing wants to avoid becoming isolated like the Soviet Union during the Cold War

By LINGLING WEI AND ALEX LEARY

Soon after Donald Trump won the presidential election in November, Xi Jinping asked his aides to urgently analyze the Cold War rivalry between the United States and the Soviet Union. His concern, according to people who consult with senior Chinese officials, was that as President Trump gears up for a showdown with Beijing, China could get isolated like Moscow during that era.

He's not wrong to worry. Even though Trump may be the one who currently looks isolated on the world stage—picking trade fights with erstwhile allies like Mexico and Canada, alarming Europe over his handling of the war in Ukraine and vowing to annex Greenland and the Panama Canal—the truth is that China doesn't hold a strong hand. With a domestic economy in crisis, Xi is

Please turn to page A8

◆ Beijing vows to resist U.S. pressure..... A8

INSIDE



U.S. NEWS

Executive order expected to direct education secretary to close department. **A3**



SPORTS

For the Mavericks, trading Luka Doncic was just the start of their problems. **A12**

Air-Traffic Staff Rules Tightened After Crash

By ANDREW TANGEL

Irregular air-traffic control staffing at Ronald Reagan Washington National Airport is under scrutiny after a deadly accident earlier this year. It isn't the first time. The night of Jan. 29, a single air-traffic controller at Reagan was overseeing both helicopters and arrivals and departures of planes. The responsibilities at the airport's tower were combined about an hour earlier than normal per Federal Aviation Administration rules, people familiar with the matter said. An Army helicopter collided with an American Airlines regional jet about 20 minutes later, killing 67 people. In 2021, a serious close call involving Air Force jets, a Marine helicopter used to transport the vice president, and a commercial plane sparked an FAA investigation into the airport tower's staffing, people familiar with the probe said. An air-traffic controller was judging oversight of area helicop-

ter and airplane traffic, despite a policy for two people to handle those responsibilities at that time of day. The 2021 investigation found that some controllers weren't working but had gotten paid as though they worked full shifts—including a practice commonly known in air traffic as an “early shove.” In the wake of the recent crash, U.S. aviation officials have tightened staffing rules for air-traffic controllers at Reagan. FAA officials now want a stand-alone controller overseeing helicopter traffic more consistently at the airport, where the airspace is complex and routes for helicopters can put them within hundreds of feet of planes. An FAA spokeswoman said the agency has emphasized the importance of staffing the helicopter position at Reagan. The authority to deviate from the

Please turn to page A6

◆ Answers for fliers worried about safety..... A10